

optimizing returns while minimizing risk, and spend countless hours identifying and structuring portfolios that supposedly outperform the market. There are many perturbations of these two schools of thought. But how do the “academic” answers to asset allocation (above) actually stack up against a simple equal-weight strategy?

Victor DeMiguel, Lorenzo Garlappi, and Raman Uppal have a surprising answer to this question in their paper “Optimal Versus Naive Diversification: How Inefficient Is the $1/N$ Portfolio Strategy?”⁸ The authors examine the traditional mean-variance asset allocation approach, but they also examine 12 other complex, sophisticated approaches related to asset allocation. If you are a hardcore quant geek, the specific approaches tested are outlined in [Table 6.5](#). If you are a lay reader, the key takeaway is that this study took the best and brightest asset allocation hypotheses on the planet and compared them to our good old-fashioned $1/N$, equal-weight portfolio (again, see [Table 6.5](#)).